25 players may not be interested in establishing one. URECOS-CI might feel that it could fulfill the functions of a CSPR. Burkina Faso will not need a CSPR before the two new zones are managed independently. It would not need one either in the transition period, if SOFITEX and the two new zones were given exclusive purchasing rights during that period. Input supply had already been partly liberalized for some time. This has been the case for herbicides in Côte d'Ivoire since 1988. Herbicides were bought on credit by unions which were selling them to cooperatives which, in turn, were selling them to growers, but the scheme was not very successful. On one hand, growers complained of being overcharged because of commissions collected at each step of the distribution chain. On the other hand, suppliers complained of payment arrears (close to CFAF 6 billion). Arrears represent a cost for suppliers who have to recover it in some way; ultimately, cotton producers have to pay for them. In Burkina Faso, cereal inputs and herbicides were recently purchased through cooperatives, but it was a small-scale experiment which ended with credit recovery problems. 4.3 The input problem in non-CFA countries In Zimbabwe, the input credit scheme was launched shortly before privatization, and it was expanded by Cotpro and Cottco after privatization. This scheme became increasingly relevant with the replacement of commercial by small-scale farmers. Poaching recently became a problem in Zimbabwe, and it has been a major problem in Ghana and Tanzania. Poaching was largely due to the presence of small traders with no significant investment in the sector and no interest in the future of the sector. CFA countries may, therefore, take appropriate measures to prevent such traders from entry when they liberalize their cotton sector. The Farmer Input Voucher system recently launched by Cargill in Zimbabwe does not provide any credit, since the cost of inputs for crop t+1 is deducted from the payment for crop t. But the simplicity of the scheme is attractive. It is attractive for the company which sells its goods when the buyer feels rich because he is being paid; moreover, the buyer of fertilizer today may become the seller of seed cotton in the next crop year, which will help the company in expanding its turnover. The deal may also be attractive to the grower, since he can load his inputs on the truck he used to bring his seed cotton and can return home feeling secure about his next crop. 4.4 Credit repayment may be hampered by drought and disease Because small-scale farmers in Zimbabwe do not have the resources to irrigate their fields, their yields are lower than those of commercial farmers and their yields are more dependent on rainfall levels.34 From an average of 800 kg per ha in the last 30 years, the average yield of small-scale farmers fell to 158 kg in 1991/92, 335 kg in 1994/95 and a projected 524 kg in 2001/02. With an input cost equivalent to some 250 kg of seed cotton, it is clear that many farmers will not be able to repay input credits in 2001/02. Cottco will have to reschedule a number of its loans, which will increase its risk exposure. 34 Over the last 32 years, yields of small-scale farmers were correlated with the level of rainfalls in December, January and February (Rsq 0.43); a 10 percent increase in rainfalls during these three months led to a 7 percent increase in yields. The correlation was much weaker for commercial farmers (Rsq = 0.04), because the latter irrigated their fields whenever needed. Yields for small and large scale farms are shown for the last 8 years in Annex Table 2.